

single busted patterns outperform the other two benchmarks, but in bear markets, they don't do as well as a head-and-shoulders top pattern.

Trading Tactics

[Table 39.10](#) shows trading tactics.

Measure rule, targets. Use the measure rule to set a target to help gauge how far price might rise. In [Figure 39.6](#), the head marks the lowest price in the chart pattern. Subtract the height from the value of the neckline directly above. In this example, the head has a daily low price of 13.13, and the neckline, measured vertically, is at 17.50. Add the difference, 4.37, to the breakout price. A breakout occurs on 28 March. I use its opening price the next day as the breakout price (15.88) to get a target price of 20.25. Price reaches the target in early September.

The lower portion of the table shows how often the measure rule target works using varying heights in the computation. The full height, as I used in the above example, works between 51% and 71% of the time, depending on market conditions (bull or bear).

Cut the height in half and the measure rule works better, but the potential profit is less. Use a taller height, and the rule won't work as often, but when it does, you have the opportunity to make more.

[Table 39.9](#) Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	505 or 16%	94 or 15%
Single bust count	238 or 47%	75 or 80%
Double bust count	181 or 36%	10 or 11%
Triple+ bust count	86 or 17%	9 or 10%
Performance for all busted patterns	−13%	−19%
Single busted performance	−22%	−23%
Non-busted performance (head-and-shoulders tops)	−16%	−24%